

Calderwood Partners LLC

www.calderwoodpartners.com

February 12, 2019

Sandra Flores

Chief Operating Officer

Poole, Mcknight and Rush

Re: Capital Allocation Review

Dear Ms. Flores:

This letter confirms our engagement to review how Poole, Mcknight and Rush allocates its capital, and it sets out the terms on which we will carry the work out. It records what we will examine, who will examine it, the fee, and the conditions both of us work under. I have written it to be read against your own memory of our conversations. If any term here differs from what you took away from them, telephone me before you countersign and we will put it right at once. An engagement of this kind holds together only when both sides share one understanding of scope from the first day, and this letter is where we fix that understanding.

What We Will Examine

The review covers how capital is allocated across your business, and within that it does four things. We will document the process as it stands today: how a capital request is raised, how it is evaluated, who approves it, how it is funded, and whether anyone returns to it once the money is spent. We will build a picture of where capital has actually gone over recent years, sorted by purpose, growth, maintenance, and compliance, and by the unit that spent it. We will test the criteria used to weigh one request against another, the hurdle rates, the payback thresholds, and the judgments of strategic fit, and we will see whether those criteria are applied the same way in every part of the business. And we will recommend a method for ranking capital requests and a governance process for the decisions behind them, in a form your management can operate without us.

Outside This Review

Some matters sit outside this work, and I will name them so our expectations are on the record from the start. This is not an audit or any form of attestation, and it yields no opinion on your financial statements. We do not value the business or any part of it. We give no legal or tax advice; where a question turns on either, we will flag it in writing and refer you to your own advisers. And we do not choose which projects you fund. We will hand you a defensible way to rank them and the ranking our method produces, and the decision on any individual project remains yours.

How We Will Work

We work from findings outward, and we document as we go. Every figure that reaches a deliverable will trace back to a workpaper we can produce on request. Where a conclusion rests on a judgment rather than a number, we will say so and show the judgment. We will bring you interim results as they firm up, so that nothing in the final material reads as a surprise. And we keep findings apart from recommendations, and label each for what it is, because the two carry different weight and should not be read as one.

Who Will Do the Work

Deborah Jimenez, Engagement Manager, runs the engagement day to day and is your point of contact on anything of substance. Brenda Clayton, Consultant, leads the analysis of your capital process and the operating-model questions beneath it. I read every deliverable before it leaves this office. For scheduling, for data requests, and for any matter that needs a decision on your side, we will work through you, Sandra Flores, unless you point us to someone else.

Fee and Start

Our fee to Poole, Mcknight and Rush for the review is \$80,500, fixed for the scope set out above. We will begin on February 22, 2019, and we plan on roughly six months from that point to the final deliverable. If you ask us to widen the scope, we will quote the addition in writing and will not start it until you have agreed the price.

Invoicing

We bill the fixed fee in equal monthly installments across the term, each payable within thirty days of the invoice date. Out-of-pocket costs, principally travel to your offices, are billed at cost and itemized on the invoice. We do not mark expenses up.

Term and Termination

The engagement runs from the start date above until we deliver the final material, unless one of us ends it sooner. Either party may terminate on fifteen days' written notice, with or without reason. On termination you owe the fee for work performed to that date, prorated against the fixed fee, together with expenses incurred, and we will turn over our work product in whatever state it has reached.

Confidentiality

We will hold the information you give us in confidence, use it only for this engagement, and disclose it outside the firm only as you direct in writing or as law and professional standards require. Your capital plans are commercially sensitive, and we will treat them accordingly. We ask the same of you as to our methods, our workpapers, and the terms of this fee.

Limitation of Liability

Our total liability arising from this engagement, whether in contract, in tort, or on any other footing, is limited to the fees actually paid to us under it. Neither of us will be liable to the other for indirect, incidental, or consequential loss, lost profits among them, however it arises. That limit does not reach our own fraud or willful misconduct. Our deliverables are prepared for your internal use; if you mean to put one before a third party who may rely on it, raise it with me first so we can address the reliance in writing.

Governing Law

This letter is governed by the law of the state in which our principal office sits, without regard to its conflict-of-laws rules. Any dispute we cannot settle between us goes to mediation before either party takes it to court.

If these terms are acceptable, please countersign both copies and return one to us; the second is yours to keep. We are glad to take on this work for Poole, Mcknight and Rush, and we will be ready to start on the date set out above.

Sincerely,

Julie Ramsey

Managing Principal

Date: February 12, 2019

Sandra Flores

Chief Operating Officer, Poole, Mcknight and Rush

Date: February 12, 2019